

Application of Behavioral Finance to Asset Allocation and Case Studies

We have covered the foundations of behavioral finance micro—the biases—so our discussion now turns to the main focus of this book: practical application of behavioral finance for investors and advisors. The next chapter establishes a basic framework for integrating behavioral finance insights into portfolio structure, and presents the concept of best practical allocation. Chapter 25 takes the concepts presented in this chapter and applies them in a case study format to reinforce learning.